

Annual percentage rate versus interest rate

The interest rate is the cost you will pay each year to borrow the money, expressed as a percentage rate. It does not reflect fees or any other charges you may have to pay for the loan.

An annual percentage rate (APR) is a broader measure of the cost to you of borrowing money. The APR reflects not only the interest rate but also the points, mortgage broker fees, and other charges that you have to pay to get the loan. For that reason, your APR is usually higher than your interest rate.

This easy to understand plain language explanation is taken directly from the following website:

<http://www.consumerfinance.gov/askcfpb/135/what-is-the-difference-between-a-mortgage-interest-rate-and-an-apr.html>